Income account 1930–1932

Balance after preferred dividends:	
1930	*318,000(d)*
1931	93,000
1932	*139,000(d)*
3 years	*364,000(d)*
Charges to surplus	505,000*
Common dividends paid	723,000
	$1,592,000
Less discount on common stock bought	481,000
Decrease in surplus for period	$1,111,000*

* Eliminating transfer of $100,000 to Contingency Reserve.

The result is that what appears as an operating loss in the company's statement may have the actual effect of a profit from the standpoint of the investor who has valued the inventory in his own mind at considerably less than the book figure. This idea is concretely illustrated in the Manhattan Shirt Company example in the previous table.

If we consider only the company's figures there was evidently a loss for the period, with a consequent shrinkage in the value of the common stock. But if an investor had bought the stock, say, at $8 per share in 1930 (the low price in that year was 6 1/8), he would more logically have appraised the stock in his own mind on the basis of its liquidating value rather than its book value. From his point of view, therefore, the intrinsic value of his holdings would have *increased* during the depression period from $12.50 to $14.75 per share, even after deducting the substantial dividends paid. What really happened was that Manhattan Shirt turned the larger portion of its assets into cash during these three years and sustained a much smaller loss in so doing than a conservative buyer of the stock would have anticipated. This accomplishment can be summarized in the following table.

We have here a direct contrast between the superficial indications of the income account and the truer story told by the successive balance sheets. Situations of this kind justify our repeated assertion that income-account analysis must be supplemented and confirmed by balance-sheet analysis.[7]

[7] The student will note a similar development in Manhattan Shirt, though on a smaller scale, between December 1937 and December 1938.